

calculation in bull markets, price drops to the target 55% of the time. If you use half the height, the hit rate rises to 80%.

Want to live dangerously? Price reaches a target farther away (twice or three times the height) less often, as the table shows. Bear markets show similar hit rates, slightly outperforming their bull market counterparts.

If you wish to buy the stock (long), you can use the measure rule numbers to help determine the probability of a stock dropping to half, one, two, or three times the pattern's height below the breakout. Just remember that anything can happen. Look for underlying support where the stock might turn and decide if it's worth selling now before it drops that far.